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RANJAY GULATI

ALLISON CIECHANOVER

JEFF HUIZINGA

Netflix: A Creative Approach to Culture and Agility

On the morning of September 29, 2018, Reed Hastings, co-founder and CEO of the entertainment distribution and production company Netflix, was in his Los Gatos office considering his schedule for the workday. First, he would review global viewership numbers of recently released Netflix Original series. Then, he would have a string of 1-on-1 meetings with members of his senior leadership team. In those sessions he would offer guidance, as well as discuss topics he was considering raising at the next executive staff meeting. Conspicuously absent from his mental to-do list—at least when compared to CEOs at other prominent companies—was the need, or desire, to make any decisions or issue any orders. It would be, for Hastings, a rather ordinary day.

Netflix was founded in 1997 by Hastings and Marc Randolph as an online DVD rental service offering mail-order deliveries and returns. At the time, few considered the startup a challenge to incumbent entertainment giants, including the brick-and-mortar video rental behemoth Blockbuster. Yet despite the daunting competition and odds that occasionally seemed insurmountable, Netflix repeatedly pulled off pivots and shifts that allowed it to grow to 700,000 subscribers[1] and a valuation of around $300 million at the time of its 2002 IPO.[2] In 2007, Netflix launched its streaming video service, beginning what some believed was a risky transition away from the business model that had made it a household name and a thriving, billion-dollar company. More competitive challenges, this time from technology industry titans such as Google and Apple, ensued, along with burgeoning tensions with the telecommunications industry and Hollywood. Further complicating matters, a 2011 pricing blunder threatened to derail the company. Despite it all, Netflix was able to continue its expansion—into more households, into new geographies, and into original content production.

By 2018, Netflix had been credited for revolutionizing how viewers consumed entertainment—shifting away from ad-fueled linear network programming to a highly personalized, on-demand, all-you-can-consume, ad-free model. It was also riding a long wave of growth, reaching 137 million subscribers, 57% of whom were outside the United States.[3] Revenue for the last twelve months was $14.9 billion.[4] The company's stock, briefly valued at $150 billion, had doubled in the first half of the year, surpassing Disney's market capitalization. The company's annual entertainment output, some of it produced in-house and/or abroad, had surpassed that of any television network or Hollywood studio. Its Original productions had won numerous Emmy awards, and an Oscar. To further cement its position in content creation, Netflix had penned exclusive deals with notable television writers and

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producers, offered multi-million-dollar contracts to marquis standup comics, and even signed agreements with Barack and Michelle Obama for upcoming projects. To some, Netflix was "the new king of media." (**See Exhibit 1** for company financials.)

Equally fascinating to many in the entertainment and technology sectors was how Netflix's company culture had evolved and enabled the organization to repeatedly innovate, disrupt, and excel. From its earliest days, Netflix leadership had carefully fostered a workplace characterized by such values as excellence, maturity, transparency, accountability, candor, and autonomy. By 2003, the essence of Netflix—giving freedom and responsibility to outstanding people in an environment rich in context and unity of purpose—was codified into what became known as the Culture Deck. The document was made public in 2009. In subsequent years it became widely influential, and largely responsible for Netflix's reputation as an intense yet rewarding place to work. While the Culture Deck evolved over the years—eventually morphing into the Culture Memo—the company's spirit and soul remained much as they had at the outset.

After wrapping up his final meeting of the day, Hastings reflected on the state of his company and its culture. Despite the occasional rumblings from markets or the media that Netflix's best days were behind it, or that its people and approach would not be up to the task of further innovation and evolution, Hastings was confident. The unique culture seemed to him capable of scaling as headcount surged past 5,000 and as the company continued its expansion into new geographies and even more content production. He saw no reason why Netflix could not maintain its high hiring standards, offer employees the same degree of freedom, and establish the same deep connections and alignment. Streaming video would be the growing medium for home entertainment, Hastings predicted, and Netflix was well positioned to maintain its status as a leader even as the industry was in the midst of an expansion he compared to the Cambrian Explosion. Yet Hastings was also aware of the fact that danger could lurk in complacency. The essence of Netflix was something he and his team would always have to steward, lest it be lost. And rather than mere preservation, continuous improvement had to be the goal if Netflix was to fulfill its core mission: to bring joy into peoples' lives.

Brief History of Netflix through 2018

As early as the mid-1990s, Hastings, who had already founded, led, and sold a $700 million dollar company called Pure Software, was predicting that video entertainment would one day be delivered and consumed via the internet. In the meantime, he believed he could serve customers better than brick-and-mortar companies, such as Blockbuster. The initial Netflix model, which entailed subscribers going online to select the movies they wished to receive by mail, harnessed two emerging technologies: 1) the internet, still in its infancy, and 2) DVDs, which had begun to overtake VHS cassettes as the preferred medium for home viewing. Between 1997 and 2006 the company was constantly adding new features, pursuing solutions to inventory and content acquisition challenges, and tinkering with aspects of its subscription model, such as pricing. By 2007 it had amassed 6.6 million subscribers and revenues approaching $1 billion.

Despite the company's booming DVD business, Hastings refocused his attention on what many agreed was the next frontier of home entertainment: streaming video on demand (SVOD). Initially offered as a 'View Instantly' feature, Netflix's SVOD proved popular with subscribers. By 2010 the company's streaming viewership had surpassed its DVD rentals.[5] That same year, Blockbuster, which had been slow to respond to technological advances and new competitors, filed for bankruptcy. In 2011, as Netflix was approaching 20 million subscribers, Hastings was named Businessperson of the Year by *Fortune*.[6]

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However, momentum ground to a halt later that year in the wake of Netflix's announcement that the company would spin off the DVD business and impose higher prices for SVOD. Consumer backlash and media criticism were intense, exacerbated by what many perceived as clumsy and inadequate communication. Subscription numbers plummeted, as did the company's stock price. Hastings walked back some of the changes, but remained committed to SVOD as the company's primary focus for the future. Before long he was being lauded for having the vision and courage to lead the company through such a dramatic pivot.

Hastings soon found himself leading another major transition, this time into original content production. While Netflix had experimented with production as early as 2005, the 2012 push, largely orchestrated by longtime Chief Content Officer Ted Sarandos, was seen as a response to the ever-changing media landscape and the rising cost of licensing deals. Early hits, such as *House of Cards* and *Orange is the New Black,* paved the way for even more rapid expansion. By 2018 Netflix was out-producing nearly every Hollywood studio, winning major awards and continuing to see subscription numbers grow steadily.

Concurrently, Netflix was expanding into markets around the world. By 2016 Netflix could be streamed in every country except China, Syria, and North Korea. To facilitate this expansion, and to better perform region-specific tasks, such as strategy, marketing, customer support, content acquisition, and production, Netflix opened offices in Singapore, Tokyo, Sao Paulo, and Amsterdam. (**See Exhibit 2** for revenue by segment.)

Netflix Culture: A Better Way to Run a Company, From the Start

Though Hastings' first venture, Pure Atria, was in many ways a success—at the time it was the most lucrative Silicon Valley acquisition, and it earned him the money he would use to cofound Netflix—he believed his leadership had left much to be desired. The "software product was excellent," he said, "but my management style was not." His at-times prickly demeanor had ruffled feathers, which others were forced to smooth out.

As Pure Atria grew, the company also struggled with excessive bureaucratization. "Each time something went wrong," Hastings said, "the response was to enact a rule to prevent that bad thing from happening again." In a separate interview he lamented that Pure Atria went, as one journalist put it, "from a heat-filled, everybody-wants-to-be-here place to a dronish, when-does-the-day-end sausage factory."[7] As he planned his next venture, he was determined to do it better. He commented, "The idea was to be able to act with incredible agility according to market needs without having a dysfunctional organization. And to achieve the balance between highly functioning and not becoming overly cautious, risk averse, and hierarchical." He continued:

> For 300 years the main growth driver was manufacturing, which promoted a certain industrial approach emphasizing rules, process adherence, and reducing variance. This became the paradigm. Meanwhile, there was always a small, creative sector, wherein management tended to be more chaotic. Over the last 50 years, intellectual property grew as a percentage of GDP and it became increasingly clear that more companies should be run with more creative sector qualities. At Pure, I didn't learn that in time, so I managed as if we were producing semi-conductors and optimized for the short-term with an emphasis on avoiding errors. But just like in agriculture, monoculture yields a great crop for a few years, then wipes you out.

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> At Netflix, from the beginning I knew it had to be different. That meant adopting a new approach to risk and inviting massive idea generation to support creative thinking. I would strive to enable the amazing outcome rather than avoid the bad. We'd have to tolerate some chaos in the short term as a hedge against the big things that can wreck firms. I knew we had to build for long term performance, to be able to absorb the unexpected changes in the marketplace.

From Intuition to Articulation

Hastings hired Patty McCord, with whom he had worked at Pure Atria, as Chief Talent Officer when Netflix's headcount was close to 30. Though they were committed to avoiding past mistakes—and building a workplace that was enriching and intentionally challenging—Hastings admitted that for the first four years "all we cared about was survival."[8] Cash flow was a constant concern, as was whether the business model could be funded, scaled and, ultimately made profitable.

By the summer of 2001, Netflix's headcount was around 120, but in the wake of the dot-com bubble burst and a period of intense spending on new distribution centers, the company was forced to let nearly a third of the company go. Despite the sadness caused by the layoffs, McCord and Hastings observed that everyone, though doing more work, seemed happier. "I realized," said McCord, "that we were very clear about what we needed to do. Every single person was in the right job." Illustrating this point was the case of a lead engineer, whose team had gone from four to only him. McCord promised to get him some help soon, to which he replied, "I'd rather work by myself than with subpar performers."[9] The company was whittled down to the essentials, and employees approached their work with intense engagement, transparency, and efficiency.

It was not until Netflix "skimmed into profitability" and executed its IPO that "we really wanted to start to be conscious about culture," Hastings said, adding, "There was the intuitive part, which is who we were as people, but now that we were public and are going to be around for a while, we figured we should be more articulate with employees."[10]

In 2003 McCord laid out key principles in a PowerPoint presentation that Hastings used as an onboarding tool and which employees were soon referring to as the Culture Deck. The purpose of the document was not only to spell out, but to generate a conversation around the company's expectations regarding conduct and performance. Explained McCord, "It's not like it's a secret set of rules. It's an evolutionary process. The culture of Netflix is still evolving and always will. The Netflix Culture Deck was not written as a tablet of stone. It wasn't written for anybody else other than the people who worked at Netflix."[11] Said Jessica Neal, who took over as Chief Talent Officer in 2017, "Think of it as an operational framework." In addition to being visible to all employees (and required reading for applicants), team members were encouraged to comment on the Culture Deck so it could remain a living, evolving document. Added Neal, "People think culture is catered lunches and perks. It's not. It's a strategy about how you work."

Eventually the Culture Deck spanned 124 PowerPoint slides, divided into sections titled: Values are what we value; High performance; Freedom and responsibility; Context, not control; Highly aligned, loosely coupled; Pay top of market; and Promotions and development. Within these sections were numerous definitions and examples, and ruminations on topics from Hastings' theories of management, to the natural evolution of technology companies, to Netflix's vacation policy and the rationale behind it.

In 2009, Hastings posted the Culture Deck online, making it available to the public. McCord initially questioned the idea. "You're going to scare away my candidates," she told him. "But only the ones we

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don't want," Hastings replied. McCord soon saw the wisdom in the decision, saying, "It was just to give you (candidates) a chance to prepare for coming to talk to us, and be realistic with you about what life was going to be like when you got there. It changed the way we interviewed almost instantly. The interviews got instantly better. People understood, or they didn't at all."[12]

By 2017 the Culture Deck had been viewed more than 16 million times. And not just by Netflix employees and candidates. For its pioneering ideas and impact on how businesses and scholars thought about HR questions, Facebook COO Sheryl Sandberg said it, "may well be the most important document ever to come out of the Valley."[13]

"A great workplace is stunning colleagues"

From its inception, Netflix had a distinct approach to hiring, and one of the defining aspects was the insistence on bringing in only the highest level of talent. This meant recruiting individuals with proven track records in their areas of expertise, often referred to as 'A' players or 'superstars.' It also meant there were almost no entry level positions in the company. Hastings often likened the company to a sports team, later amending the analogy to "like an all-star team," which he believed was more translatable for international candidates. Having stellar colleagues was considered a key aspect of employee morale. Conversely, weak performers were toxic to office atmosphere. Hastings elaborated:

> We're overt about the pro-sports metaphor, as opposed to the, 'If you do a bad job, you're out,' model. We're like, 'if you're a good player, but not the best on the planet, I'm going to be trying to get the best one because that's how the team is going to win. That's a shift that makes some employees uncomfortable, but we are open about it and take that into account when we deliver feedback.

Hastings and McCord reflected on the crucial characteristics and correlated hiring criteria of 'A' players. They came up with a set of nine skill sets, behaviors, and attributes that hiring managers should look for in candidates. These were the characteristics and tendencies of "fully formed adults,"[14] another phrase that came to be commonly associated with Netflix culture. They were: Judgment, Communication, Impact, Curiosity, Innovation, Courage, Passion, Honesty, and Selflessness. In 2017, Inclusion was added to that list. (**See Exhibit 3** for how Netflix defined these terms.)

Hiring at Netflix

While many companies relied on external recruiters, Netflix formed an internal team of experienced recruiters, whom managers were encouraged to view as true business partners. Managers remained deeply engaged in the hiring process, particularly given the technical complexity of the business, and while the recruiting team provided support and guidance, the final decision ultimately belonged to the hiring manager. McCord recalled, "At Netflix we had a saying: Always be recruiting!"[15]

Bao Nguyen, for example, who joined Netflix as a Communications Manager after spending several years at Walmart, said that he and his communications team colleagues liked to hire experts in their fields who could also operate as generalists with sound business judgment. Usually, this meant recruiting people in mid-career, with solid backgrounds in business. "When we interview," Nguyen said, "we're always very curious about how much they've traveled, what books they've read, whether they're super interested in the business we're in, whether they have a spirited, inquiring mind." These were people, he added, interested in something deeper than the bottom line. They pushed themselves to achieve and expected the same of those around them. Most importantly, they were trustworthy when it came to making good decisions on behalf of the company. "Also," he added, "people on our team hate to feel like we're being managed, so we look for that quality in applicants as well."

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Though Netflix's reputation provided some degree of self-selection among prospective applicants, the hiring process remained a lengthy, probing process. Almost zero attention, the company claimed, was paid to which university someone attended. Much of the interviews focused on culture and personality fit. Said Ty Warren, Head of Physical Production, "We spend so much time interviewing because we want to be sure that new hires share our values. For me, a big part of that is evaluating their openness to new ways of doing things rather than adhering to old habits picked up at previous organizations." Added Neal, "Of course we look at skill, but we probably over-index on attributes related to culture."

Hastings, meanwhile, placed tremendous emphasis on references. "People can buffalo you in 4 to 6 hours," he said. "The interview is like a narrowing round. But people will act consistent with their past. So, you must work the network to get close. I tend to Skype references because they have a much harder time lying to me on video. If it's someone who's going to report to me, I'll spend hours on references."[16]

Beyond that, there was a consensus regarding the types of individuals who would not be good fits. The general rule held that "brilliant jerks" need not apply because in the end they were almost never worth the cost. Additionally, those who preferred to take direction, needed job security, or were content to be cogs in machines, were unlikely to enjoy working at Netflix.

Learning the Netflix Culture

Because Netflix offered very few entry level positions, and desired mostly mid-career professionals, new hires required ways to learn about and adjust to the unique environment they were entering. For many, this included unlearning certain habits acquired in prior jobs that were incompatible with Netflix's way of doing things. Said Neal, "Most of the people we're hiring are pretty seasoned and have learned to work in a different way. When new hires join, they can feel intimidated. It's as if we're speaking a different language."

During the hiring process, candidates were expected to both study the culture document and have extensive conversations with current employees about how Netflix operated and why. Once new employees began work, they attended a day-long event known as "New Employee College." In the early days, Hastings, along with his top executives, led these sessions, speaking about priorities and helping individuals understand how their roles fit into the larger picture. New hires also tended to have many introductory meetings. Christophe Jouin, Director of Device Ecosystem Engineering, described the whirlwind of his first days at the company, "Within a few hours, my calendar was already full with people spontaneously booking 1-on-1 meetings to introduce themselves, explain what they do and openly share how we could work together."[17] Finally, many employees recalled being encouraged to spend their first weeks at the company learning, observing, and asking questions. "It's one thing to read and discuss the decks theoretically," said Warren. "But being inside, learning how they truly are living, breathing documents, is a whole other experience. When Ted (Sarandos) brought me in, he said that stepping into a unique environment of high-achievers operating incredibly quickly could lead to feeling the need to make an impact right away. Instead, I should take my time, adjust to the way of doing things, be curious, and internalize." Added Amie Tornincasa, Director of Studio Technology, "Keeping formal orientation brief is a great way to encourage people to figure things out on their own, which is key for cultivating out-of-the-box innovative thinking."

Risk, Failure, and Consequences

Like many Silicon Valley tech companies, Netflix advocated taking risks and experiencing failures, which it often recast as learning experiences and the best path towards meaningful improvement. Hastings spoke of well-thought out experiments as "noble bets." Those that did not work out could

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therefore be seen as "noble failures." Said Tornincasa, "I recall the first time I proposed what seemed like a risky idea. I asked my superior, 'What if I fail?' She said, 'Well, fail fast. Use your judgment. We'll try something else if this doesn't work.'"

Said Laura Dyer, VP of Originals Publicity for EMEA "In other companies mistakes often lead to periods of shame and blame. While if you make a mistake at Netflix, we figure out why, we rectify it, we trust that individuals will learn from it, and we move on." Added Hastings, "We make Netflix a really safe place to fail. Partly because it's the best path to innovation. But it's also related to the sector we're in. The approach might not be transferable to an industry where safety is a major concern, such as airlines. Because we're in entertainment we can adopt a higher risk-tolerance."

Yet failure could also bring consequences. Continued Hastings, "One failure does not mean you're out. Our stance is that we'll continue supporting you as long as we have expectations of future greatness. But if you start to string failures together, you probably won't get new resources."

Saying Goodbye

Another unusual aspect of Netflix's approach was its acknowledgement that many roles within the company were unlikely to be long-term. That is, new hires were brought in for their ability to solve specific challenges Netflix expected to face during distinct phases. As the size and scope of the company evolved—for example from DVDs to streaming—or as individuals reached the limits of their expertise, new talent would replace the old. McCord described the philosophy as wanting Netflix to be a stepping stone, and "a good place to be from,"[18] meaning that Netflix would be a prestigious previous employer to list on one's resume. In general, managers were advised to use 'The Keeper Test,' which asked them to think, "Which of my people, if they told me they were leaving for a similar job at a peer company, would I fight hard to keep?"[19]

A representative case of this attitude in action involved a bookkeeper from Netflix's early days, who though highly competent and well-liked, was let go when the increasingly complex financials outpaced her skill set. "If we wanted only 'A' players, we had to be willing to let go of people whose skills no longer fit, no matter how valuable their past contributions had been," said McCord. The bookkeeper was rewarded with a generous severance package, for which she was reportedly grateful. She wasn't the only one. Over time, the prevailing maxim at Netflix became, "Adequate performance gets you a generous severance package."[20]

There were exceptions to the rule, of course, as it made sense for some people to grow along with the company. "In some groups," said McCord, "there will be lots of opportunity, and some people, through both luck and talent will have extraordinary career growth."[21] Sarandos was an example. He joined the company as Chief Content Officer in 2000, a position he continued to hold in 2018, despite massive shifts in Netflix's approach to licensing and production. Retention rates also increased as the company continued to grow. "Modeling behavior is important for maintaining continuity," said Warren, adding that "veteran employees are able to serve as good examples for newer hires."

Eventually, Netflix's employee retention approach caught up to even McCord. She was asked to leave the company in 2012. After leaving Netflix, she authored a book, founded a consulting business, and worked with a host of companies (e.g. Warby Parker, HubSpot, and Harry's Grooming) helping them to define leadership and culture in their organizations.

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Compensation

Netflix executives summarized the company's philosophy of compensating talent as suiting the performance the company needed and the future the company aspired to. This meant setting aside the traditional pay-band model and often paying top of market. Netflix used compensation survey data and benchmarking as only partial inputs to salary packages. Some star applicants, therefore, commanded double the salary of others on their teams if they brought unique skills. This approach had been in place since practically the beginning.

In keeping with the spirit of valuing and rewarding talent, Netflix allowed full-time employees flexibility in structuring compensation packages. Senior executives were permitted to choose how much came in the form of salary, and how much in equity (in the form of options that vested immediately). Another uncommon tactic was to eschew performance bonuses. The strategy was to hire workers who took a company-first approach and pay them well enough that they would not need to be incentivized with prizes. If employees put the company first, the company reasoned, an annual bonus won't make them work harder or smarter.[22] The motivation behind these policies was more than generosity, argued Hastings. They saved Netflix money operating under the assumption that one high-performing employee both achieved more and cost less than two average-performing ones. Compensation continued to be assessed even after hiring, and employees were encouraged to interview elsewhere to understand how competitively they were being paid.

Freedom and Responsibility

Arguably the most distinct and influential characteristic of the Netflix operational framework was the degree of latitude granted to employees to make their own decisions and run their own experiments. While each role had its goals—both stated and implicit—there were few mandates from higher-ups regarding how those objectives needed to be pursued. The principle held for employees at all levels, for decisions big and small. Stories abounded, therefore, of times when someone undertook a course of action even when others in the organization expressed doubts: a marketing director who pushed for more spending on promoting Netflix original content; a technical program manager devising a new way for her department to share files; a low-level content executive greenlighting a film that Sarandos doubted; a hiring manager making an offer to a candidate others might not have agreed was a superstar. Said Neal:

> I think of freedom and responsibility as a gift, because what the company has told me is, 'We think you're really good at what you do. We're not going to mandate how you do it, but we're going to trust and empower you to do great work.' For people who thrive at Netflix, that's thrilling.

Trust, therefore, played a big role. Some companies, a former executive said, offered specific "zones of discretion" or "spheres of influence," in which employees enjoyed some autonomy, but Netflix seemed to consider the entire company to be such a zone.[23]

Which was not to say that Netflix employees operated entirely independently. Far from it, in fact. Before embarking on a sizable project with potentially wide-ranging implications, individuals were expected to share their ideas, preferably in writing, with a broad set of colleagues, through an approach referred to as "farming for dissent." Those colleagues were then expected to give frank and constructive feedback. Said Danielle Davies, VP of Marketing for EMEA:

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> Farming for dissent is not about sending something out and hoping that no one has any comments, or that it just sails through. It's the opposite. It requires some vulnerability, but you want to put your idea out there in a way that you are really asking for help. Ultimately it is yours to decide which input you're going to take on board. So, if you decide, 'I hear what they're saying, I understand it, but I don't believe that's the right thing to do, and I'm going to go ahead,' it's you, not your boss who makes the final decision.

One of the most publicized expressions of freedom was the abolishment of certain formal HR policies based on the hypothesis that if the company hired the right type of people, such restrictive rules would not be necessary. After slashing a significant percentage of policies, there were virtually no vacation limits and minimal expense report guidelines, though these differed by region based on local law. Instead, the company encouraged employees to use common sense when scheduling vacation, and to spend company money the same way they would spend their own. Most of the time, the company felt, it got better results, and at lower cost. Later, Netflix applied this logic to maternity and paternity leave, allowing employees to take leave as they saw fit, with employees typically taking four to eight months off in the year after a child was born or adopted.

Some restrictions still applied, however. The Culture Deck identified "two types of necessary rules," those that would "prevent irrevocable disaster," and those involving "moral, ethical or legal issues." Examples of the former included some limits on spending on new programs. Said Sarandos, "They [lower level executives] have some budget constraints. Somebody who typically can greenlight a $3 million show but has a $10 million show [under consideration] — they're going to check first."[24] Similarly, accountants were encouraged to minimize time away at the beginning and end of fiscal quarters, and employees had to meet with HR if they wished to be out of office for more than 30 consecutive days. Hourly employees had to adhere to more structured policies given the nature of their work and employment contracts.

The original Culture Deck concluded its discussion of 'freedom and responsibility' with these three principles: 1) as we grow, minimize rules; 2) inhibit chaos with ever more high-performance people; and 3) flexibility is more important than efficiency in the long term.[25]

Context, not Control

Closely linked to the concept of "freedom and responsibility" was that referred to in the Culture Deck as "context, not control." All employees were expected to maintain a holistic understanding of the organization's status and goals, achieved by management providing high levels of transparency around strategies, metrics, and assumptions. By providing this robust context, Netflix was hoping to avoid what might be considered 'controlling' managerial tools such as top-down decision making, mandatory management approvals, and an overemphasis on process. The underlying belief was that the best outcomes were achieved when high-performers had all the information they needed (context) to make decisions, not when they were tightly managed (not control). Warren of the production area provided an example, "Cindy [Holland, VP of Original Series] will be really open with me and my team about what types of content she wants to focus on. She gives us enough context that we can then go figure out specific ways we can execute."

Said Neal, "Ideas are rolled out as conversations with everyone. When I first came to Netflix I was blown away by the level of information sharing." Warren, who joined in 2016, remarked that the transparency level was high relative to other companies. "So much information is available to sift through, find what's relevant, and connect dots. It's so empowering."

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Early in Netflix's history this type of information was shared primarily via employee-attended presentations and PowerPoint slideshows. But as the company grew beyond 500 employees, operations became more complex, information sensitivity was more of a concern, and presentations proved increasingly unwieldy. More specifically, too much of the time employees were spending together was taken up sharing information rather than in conversation and debate about the merits of ideas. Consequently, a shift was made to share decks in advance of meetings. Attendees could then absorb information and formulate ideas prior to sitting down together. Despite the additional time burden of reading and commenting before meetings, efficiency improved, and frustration decreased.

Memos

By 2017, Netflix shifted from a 'presentation culture' to a supposedly more user-friendly 'memo culture.' The reason, argued Hastings, was that memos forced employees to refine their thinking because of the pressure to have one's ideas presented clearly and succinctly. Memos were also thought to be more translatable for international employees. The principle was the same: documents were made public, and employees were expected to read and comment whenever they saw fit. Said Neal, "Ideally you're sending out a memo 48 hours in advance of a meeting. But not everyone has great memo hygiene, and you don't always get them that far ahead." Nguyen agreed, adding, "The first one you write is hard. But once you're in the habit it gets easier, like writing a paper. Part of how we define being a star player is being able to digest and express in this format."

The original Culture Deck, for example, transitioned from 124 slides to 10 pages of prose. This reflected not only a change in process, but was a recognition that the original Culture Deck content could benefit from some new ideas, new examples, and new voices. For instance, greater emphasis was now placed on inclusion and respect. Hastings, with assistance from several of his top confidants, spent more than a year on the revision before releasing the Culture Memo to the company and the public. Said Scott Domann, former VP of HR and Talent, "I was amazed that when Reed released the new Culture Memo, out of over 3,200 employees, over 1,000 weighed in and their voices were heard."

Organizational Structure and Setting Priorities

Netflix, according to many of its leaders, had a relatively flat organizational structure. And while function rather than region remained the dominant criterion, employees frequently made the somewhat sarcastic remark that the company underwent a "re-org practically every quarter." Neal admitted there was some truth behind the refrain, saying, "The structure is up for debate all the time. We're always rethinking and reinventing." She continued:

> There are several things we consider when we think about structuring teams. They include how many reports a leader has and how the work is divided within a team. There should be a healthy tension between optimizing for efficiency, creativity, and productivity and it will vary by function. Remaining as flat as possible and not inserting meaningless levels continue to be key goals. We also constantly rethink about how teams are connected to other teams.

As Netflix grew it also established ways of setting priorities. Among them were a series of meetings. Reed's direct reports--comprised of the top eight executives—met monthly with Hastings to discuss the company's strategic and cultural priorities. For example, Hastings and his team might agree that a certain country should receive more attention the following quarter, or that a style of programming should be a bigger focus. These conclusions were referred to as strategy bets and were compiled in documents that would later be shared with other executives. (**See Exhibit 4** for Reed's direct reports.)

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Meetings of VP-level employees convened several times per year. Often these were structured as a retreat, or an immersion into a new market. In 2016, for example, the VP staff met in Brazil and spent several days learning about the culture and attending events (e.g. a premier of a Netflix Original). The prior year the team traveled together to India.

VP-level meetings were also held in advance of the largest gatherings of Netflix employees, the quarterly meetings that met two to three weeks before earnings in Los Angeles. All 300-plus directors and above from around the world attended. As was customary for Netflix meetings, each department shared a memo in advance of the quarterly meetings. The meetings themselves were spent discussing the content of those memos—wins, losses, and things to look out for—and forming breakout groups to solve specific problems. After the quarterly meetings, all relevant memos were shared with the whole company and the expectation was for them to be read in their entirety—a solid day's work. Employees were encouraged to comment within the memos, which led to resolution or debate.

This approach had profound impacts on the role of leaders and managers in the company. Hastings, for example, saw himself largely as a "provocateur and evangelist," building out cases and letting them "filter down where relevant." Said Neal, "My job is largely to make sure people on my team are armed with the information they need to make good decisions. Once I do that, I just get out of their way. That's something we think about a lot here at Netflix: how do we get more out of the way?" Added Hastings, "A manager diving in is a last-resort option."

The importance of context applied to board members as well. Typically, members of corporate boards operated at a distance from day-to-day operations, and only periodically received limited information from a select few executives. At Netflix, directors were encouraged to attend monthly and quarterly senior management meetings, and they were given access to the memos employees used to set and discuss priorities.

Combined, the principles of 'freedom and responsibility' and 'context, not control' created an environment and employee experience commonly referred to as 'highly aligned, loosely coupled.' The essence of this idea was that despite the lack of rigid structures, processes, and hierarchies, everyone in the company was aware of, and committed to, the same visions and priorities. The alignment, asserted many employees, was a key component of the culture that in addition to producing results, sparked camaraderie and passion. "Because we have this shared understanding of the company's priorities, teams are better able to determine how they can support each other in pursuit of goals," said Warren. Another product of this emphasis on alignment was increased amount of collaboration between departments that in other organizations would likely be siloed. Hastings compared the result to "wartime collaboration of a society," because everyone was able to "let go of narrow agendas." Added Warren, "The context is, along with the freedom, what allows us to move quickly."

Guardrails

While freedom and autonomy were celebrated, some systems were in place to help ensure that employees adhered to the values and norms. Every year the legal team sent an e-mail reminding employees of certain rules and best practices concerning matters such as insider trading, customer and employee privacy, document retention, and sexual harassment. Yet for the most part, internal matters continued to be governed by employee judgment.

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Constant Feedback

Hyper-transparency at Netflix extended into the realm of employee evaluations. The company reduced the importance of scheduled performance reviews (also known as 360s) in 2002, encouraging employees to offer feedback to any of their colleagues whenever they saw fit. Early on, Netflix relied on an anonymous software system. It gradually shifted to signed feedback, though according to executives many managers and teams preferred in-person conversations and hold reviews face-to-face. The format remained simple. Employees were to comment on things they felt their coworkers ought to stop, start, or continue. This applied to both the substance of one's work, and how well the colleague was upholding Netflix culture. Feedback—given to one's higher-ups and reports—was expected to be given without ego, apolitically, and with the utmost candor. While some bristled at what could be perceived as bluntness, supporters of this approach praised how it fostered nimbleness and innovation and helped confront small issues before they could become large problems. "Your 360 feedback process is the deep clean," said Hastings. "But it's the daily brushing and flossing that are essential. We tell people not to bottle anything up, and that a goal of the 360s should be no new information, no surprises."

Bad Actors

Yet, as in any large organization, there were, over time, some who either refused to adhere to the norms or committed serious transgressions necessitating stronger responses. For example, one employee repeatedly abused what could be interpreted as a generous expense policy and was let go. The same fate was suffered by an individual who leaked sensitive information on the website Reddit.com. What the company did not do in such circumstances was impose kneejerk new rules about expenses or leaks. Instead Hastings sent company-wide memos that explained what happened and the reasoning for the actions taken. Therefor the issue was addressed and Netflix avoided erosion of freedom.

No Key Performance Indicators

Also important were guardrails that the company refused to implement. Said Hastings, "We don't really use KPIs. Perfect metrics rarely exist for what we're trying to do, so judgment informed by context works better. Also, I've found that searching for accountability in this way distracts from what really matters, which in our case is the customers." The company considered itself to be very data heavy. It collected, analyzed, and referenced a lot of numbers. But the question employees asked was whether they were making the best possible strategy bets. When queried about targets, employees offered a similar refrain: "the values are what we value."

Evolution, Not Preservation

According to Neal, the ability of Netflix's culture to adapt where necessary was, ultimately, the key to its success heretofore and would be going forward. "Freedom and responsibility is a platform," she said. "How we approached it over the years has changed in many ways, some small, some big. But we're constantly going back and looking at it, asking what's working and what's not, how do we pivot, how do we adjust?" She cited the move from Culture Deck to Culture Memo as an example. "Every few years," she said, "we revamp our cultural description to more accurately describe how we want to work and who we want to be at work."

As Chief Talent Officer, Neal commented, "I feel my responsibility is to help the organization constantly reflect and realize when things aren't working as well as they could be. I put an enormous

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amount of pressure on myself to see what others might not see, because that—where something buckles or cracks with no one noticing—is where the danger happens." The actual process of cultural adjustment occurred much the way strategic priorities did. Said Neal, "It's a conversation that often starts with Reed or other top leaders, but that eventually sees everyone being given the chance to say what's working or not working. It's definitely not, 'Hey, we're changing this, here is the rollout.'"

Answering the Skeptics

Netflix's distinct culture was not immune to all criticism. Some current and former employees remarked that they were sometimes afraid of being fired, and that dismissals had the reputation of being carried out insensitively. Others complained that stress levels tended to run high, and that due to high expectations and heavy workloads achieving a desirable work-life balance could be difficult.[26]

Despite these assertions, Hastings and other company veterans, while taking the concerns as good feedback, defended the Netflix approach. "It's not that there haven't been hiccups, but that culture of openness and freedom seems to be doing quite well," said board member Skip Battle.[27] Others "credit it with keeping the company stocked with high performers capable of fast decision-making." Still others compared Netflix's culture "favorably to other companies where there is more concern about corporate process and chain-of-command than there is about doing what is best."[28]

Turnover rates, the company insisted, were in line with or better than industry averages. Other issues, said employees from a range of departments, tended to be attributable to the occasional and unavoidable mistakes made during the hiring process. Said Neal, "We try really hard to make sure that everyone we bring on board understands and can thrive in our culture, but sometimes we get it wrong and the person decides this isn't the right company for them. It just goes to highlight the importance of the interviewing and screening process, and the ability to recognize when what's best for both parties is for someone to move on to a new opportunity."

Some data supported these claims. As of August 2018, 73% of respondents on the employer-review site Glassdoor.com recommended the company to a friend, and 91% approved of the CEO. One senior software engineer with the company posting on site characterized the culture as "smart people, eager to help each other." Another posted that "the Culture Deck is very accurate."[29] (**See Exhibit 5**).

Scaling the Culture—Production

As Netflix pursued vigorous expansion into content production and into markets around the world, some, especially outside the company, wondered if the company's culture could withstand potential new pressures. Much of the company's top brass, however, exuded confidence. "We're forging ahead into territory we don't know," said Neal in 2018, "but I'm not losing sleep. We've pulled it off for years, and we're going to pull it off again even though we're making it up as we go along."

Much of the apprehension that did exist owed to the fact that, as Warren pointed out, "Very little Hollywood production had changed in more than half a century." However, as Hastings and others pointed out, the staleness of traditional production processes meant the sector was ripe for innovation and improvement, and potentially well-suited to Netflix's first-principles approach to problem solving. "We're not trying to do it how studios have done it," said Neal. "We're trying to flip it upside down and do it a whole different way by applying Netflix's tried and tested operational framework."

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Collaboration and Applying Technology

A large component of Netflix's novel approach was applying the Netflix principles of transparency, context, and alignment. Said Warren:

> In Hollywood different teams—production, post-production, accounting, and so on—had always been disparate and siloed. At Netflix we saw tremendous value in fostering increased communication and collaboration. It started with the way teams were structured. It used to be that most of the production people had no say in the direction of the company. That's not how we do things here, where any employee can read and comment on one of Reed's or Ted's memos.

Dyer lauded Netflix's approach as well, "We've gotten so good at sharing big picture strategy and details about individual projects that I feel empowered to make decisions, even when, because of the time difference, stakeholders in California are asleep." This transparency and emphasis on information sharing applied to the day-to-day production processes as well. Said Tornincasa, "We learned that creating an app that allowed the production crew on set to collaborate in real time could enable great efficiencies."

Furthermore, near-constant feedback remained the norm, which in addition to fostering alignment insured that any strategic or cultural issues would be addressed immediately. Said Dyer, "In my old world, within the more traditional studio system, the way marketing people like me would communicate with talent and reps would be through a centralized hub. But here, because we're enabled and encouraged to have the conversations we need to have, we keep the business humming along from all corners of the world."

Freedom continued to play a large role, too, in both preserving important cultural elements and fostering agility. Said Sarandos, "The only way that we can do what we do at the quality and volume we're doing it is to give power to executives to make those choices. Most of my team have more buying power than anyone has selling power in Hollywood. My direct-report team can greenlight any project without my approval. They can greenlight it *against* my approval!"[30]

Tornincasa celebrated the collaborative nature of teams, "We don't hit many roadblocks, but we do experience redundancy from time to time. For example, multiple teams have in the past built similar technology applications unbeknownst to each other. But even that usually works out well, because when the redundancy is exposed, teams work together and learn from each other. There's a better result once the best parts of each have been merged."

As it had with DVD rentals and streaming, Netflix looked to harness the potential of technology. Said Tornincasa, "I came from a leading Silicon Valley tech company, so was amazed to see people on production sets still using fax machines. We are looking to empower our production crew to spend more time on the creative process and less on the administrative and operational overhead. Our hope is that the crew will have a great experience and then, hopefully, they'll be excited to work with us again."

Early examples of Netflix's attempts to use technology to overhaul the production process included creating software programs that automated scheduling, progress updates, and other repetitive tasks that were still being performed manually by workers using pen and paper. The programs were designed to be modular, so that each production team could pick and choose the right combination for them. On a given project, these tools were being used by 200 to 500 individuals. Across all Netflix

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productions, that number swelled to tens of thousands over time. "We're setting out to build a smart and modern studio," said Tornincasa.

Hiring

The content team was mostly based in Los Angeles, though small content teams were growing in Europe, the Middle East, Asia, and Latin America. When hiring for production roles, the company sought primarily those with technology industry backgrounds who could come in with curiosity, fresh outlooks, and a desire to innovate and iterate. Beyond poaching talent from Silicon Valley, Netflix also sought Hollywood veterans who would bring vision and open minds, rather than commitment to doing things as they had always been done. This approach to keeping the company spirit alive also applied to international hiring. Said Hastings, "We're boutique hirers, still. Not everyone in Hollywood, or everyone in say Japan or Mumbai will be willing and able to operate as we do. But there will be those few, who have the talent and the attributes, and the desire, and that's who we're going to go out and get."

Scaling the Culture—Global Expansion

Posing more challenges for Netflix were cultural questions that arose when opening offices and growing teams around the world. When Netflix initially entered European markets in 2012, focusing at first on attracting subscribers, it had offices throughout the continent, each focusing on specific countries or sub-regions. But by 2015 it became clear to leadership that despite having 'A' players on the ground, they had not achieved optimal levels of collaboration and alignment. Recalled Domann:

> In 2015 we had only a handful of people in Paris and Berlin offices - all in temporary office spaces that didn't feel very 'Netflix.' The people in these offices didn't have the benefit of being surrounded by a diverse set of teams, as well as deeply experiencing the Netflix culture on a day-to-day basis. To strengthen the business and the culture, we realized we initially needed everyone in one place, and that it should be Amsterdam. In 2016 we launched globally. Since then we've seen our country-focused teams grow as well as a significant increase in our local productions and originals. By mid-2018 we realized we had tenured Netflix leadership leading our country teams and enough talent density to open offices in Paris and Madrid. We'll continue to make bets on opening offices around the world as the business grows and the need for locally-based talent increases.

Davies elaborated on the 2015 closure of the Paris and Berlin offices:

> This was not happy news to deliver to employees in those offices. But we delivered it directly and respectfully. We met with everyone in every office and explained why we decided to keep our London office open but not Paris and Berlin and discussed their personal situations. We didn't draw a hard line and say, 'You must move by August 1.' People had family considerations, like finding schools for their kids. We said, 'All right, we'll work with you on this.' We really do care a lot about our employees. That's something you can't fully grasp by reading the Culture Memo. You must experience it to truly understand how much thought, time, and effort we put into understanding the people who work here.

In Asia, given the more significant national and sub-regional market differences, Netflix kept a hub-model with several offices. Said Neal, "Singapore is our APAC headquarters, but we have SWAT teams

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in Tokyo, Seoul, and Mumbai. We'll probably have other ones as well. It's about how to make that market and region successful, and when you have such drastic differences—in Japan and India, for example—you want people on the ground working to make sure we reach customers in a localized way. But with a hub-model you still get these critical masses of people, which really helps in terms of gaining context and building alignment within a community."

Jerret West, VP of Marketing for APAC, also opined on the hub-model and its future. "We scaled the Amsterdam office from 30 people to more than 170 in two years," he said. "I came to call it the United Nations of Netflix, because it was this hive of people from different countries, learning from one another. It paved the way for down the line possibly having 'spoke' offices in each individual market. Asia is hubbed out of Singapore, and we'll continue to scale that office. But there's also a little more nuance in in Asia, which is why we're not using the exact same playbook we used in Europe. As with everything we do at Netflix, you try to pattern match, but you also have to hypothesize and experiment."

Addressing Regional Cultural Differences

Hastings and others also recognized the need for the Netflix culture to adapt as it came into contact with the customs and attitudes prevalent in different parts of the world. For example, Netflix leaders observed that employees in Asian offices, especially Tokyo, were having difficulty providing and receiving feedback in such a direct manner. Said Domann:

> In California we are accustomed to giving direct, real time feedback. As we've opened offices around the world and brought people on board to the culture, we realized we had to adapt the way the culture comes to life. We've spent a lot of time aiming to understand the nuances and complexities of actions like giving feedback around the world to adapt our approach.

Domann and his top report in Japan then created an offsite for the entire office where they worked towards solutions consistent with Netflix principles and Japanese customs. He reflected:

> She would give examples of what it was typically like in Japan to give feedback. Then I'd offer the Netflix perspective, and together we'd come up with a re-articulation that accounted for the company's need for directness and the employees' need for harmony. It worked incredibly well. So well that this year the Tokyo office provided some of the most direct and constructive feedback that we saw anywhere in the company. And I think it was primarily because we took the time to understand where people were coming from and didn't just drop the framework on them and say just do this.

Neal echoed this, "We don't want to de-program cultural diversity. Those are things we need to understand to have the global IQ we're striving towards." Dyer agreed, saying, "We have a very strong company culture, but we're always thinking of ways to adapt it, and acknowledging different cultures has been part of it." As did Hastings, who insisted that while international employees had things to learn about Netflix, "Westerners clearly have a lot to learn—about concepts like harmony and grace—from their non-Western colleagues."

Dyer described some of the strategies Netflix was employing in the onboarding of foreign employees, as well as the reasoning behind them:

> We have gotten better at tailoring the onboarding process. We introduce feedback very early on, and not only top-down feedback. Sometimes we'll summarize feedback in

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> writing - we regularly utilize memos to communicate strategy, which helps international colleagues interpret and question something they may miss in a meeting outside of their time zone.
>
> And we've been good about travelling across territories. Lots of companies would say, 'You're a new employee based in Europe, so come spend time at our U.S. office.' And we do that. But our U.S. and international colleagues also take the time to travel to other regions. Someone from Amsterdam went to Singapore for 5 months to help that team onboard and acclimatize.

By summer 2018 Netflix had over 400 employees working overseas. Dyer attempted to sum up Netflix's thoughts on its global approach to culture. "It is way too simplistic to characterize our culture as Californian or North American because it's so much more. The only way to truly describe it is 'It's Netflix.'"

The Future

For many companies—especially in Silicon Valley, where founders loomed so large that they were often seen as visionaries not only for their companies but for society—building attachment of employees to the organization rather than the individual leader was a challenge. More specifically, while such attachment could be beneficial while the individual enjoyed popularity and success, it could be devastating to a company if or when that person faltered, distanced themselves from the firm, or departed. Hastings, who was often mentioned in the same breath as Jeff Bezos, Bill Gates, and Steve Jobs, had become enough of a celebrity that some wondered if it could happen at Netflix.

Not likely, argued Warren:

> Reed is inspirational, sure. People look to him for guidance, and as an example for how we ought to approach things. But the values and the mission are our North Stars. Those are the standards we use to hold each other accountable, and to hold Reed accountable. And they address what the employees of Netflix want in life: to have a voice; to be able to make and see your impact; to feel connectedness; to build interpersonal relationships with smart, creative, innovative people; and to be part of something dynamic and challenging.

Added Tornincasa, "Reed has put a lot of trust in his leaders to guide the company. He has set it up so that he's not seen as representing the company nearly as much as the culture represents the company. I view it as Reed provides strong vision—which filters down to us as what we refer to as context—and that attracts people with passion and purpose."

Hastings, by all accounts, seemed pleased with how his function had evolved over time. "The role I see for myself now," he said, "is externally, keeping an eye on the market and our place in it. Internally, I'm mostly here to give pulse checks, and to plant some ideas that can filter down where necessary. My goal is to go an entire quarter without making a single decision. I haven't gotten there yet. But I keep getting closer."

The other concern was whether the culture could be sustained as headcount continued to balloon, and as more and more new employees were expected to be in satellite offices overseas. Hastings addressed the issue head on:

> When we were 200 people, we worried about 400. At 400 we worried about 800, and at 800 it was 1,600. But now, going from 5,000 to 10,000, I don't worry that much about it

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because while we have the increased difficulty of more people and more cultures, we have the advantage of a lot more smart people thinking about how to improve the culture.

That's the offset that we didn't think about at first. It's like Malthus, who predicted the end of the world in the late 1700's, claiming that everyone was going to starve because he calculated how much food could be produced on X-amount of land. But he was wrong because he failed to calculate for improvements, like technology. I'm trying to avoid the Malthus trap and not say, 'Oh no, after 5,000 it's going to deteriorate.' It just depends on how much improvement we can generate to address the challenge of the future.

Yet he was also specific about some of the issues he believed Netflix would continue having to address:

We're still trying to become great at inclusion and diversity, and we're still learning globally. For example, when some teams get together for informal dinner the night before their 360s and give a lot of their feedback in front of the entire group. That can be great for transparency and intimacy. But if you grew up in Asia, your comfort with direct criticism might not be that high, and then direct criticism in front of other people might be viewed as about the worst thing. Things like that we need to keep experimenting with, refining, and improving.

And as we go deeper into markets we'll have to address subtler and subtler differences, say between Britain and Germany, or Italy and Spain. That's from a content perspective, but at some point, it will be a cultural question, too.

There's the production side, too. As we do more production totally in-house we'll continue to have a different mix of people. That always creates some recalibration.

In the end, however, Hastings was content to give Warren the last word. "What sustains the spirit of Netflix is that we keep culture as a focus and a conversation. Literally every single day there is a conversation about our culture, and how it is being manifested. The values are on everyone's tongues, and we're constantly acknowledging how crucial they are to what we're trying to accomplish. It's our job as leaders to keep us consciously striving towards those values."

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Exhibit 1a Netflix Consolidated Balance Sheet, Year End 2009-2018, in USD millions

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
ASSETS										
Cash And Equivalents	134.2	194.5	508.1	290.3	605.0	1,113.6	1,809.3	1,467.6	2,822.8	3,794.5
Short Term Investments	186.0	155.9	289.8	457.8	595.4	494.9	501.4	266.2	-	-
Total Cash & ST Investments	**320.2**	**350.4**	**797.8**	**748.1**	**1,200.4**	**1,608.5**	**2,310.7**	**1,733.8**	**2,822.8**	**3,794.5**
Prepaid Exp.	26.7	-	56.0	-	-	-	-	-	-	-
Deferred Tax Assets, Curr.	-	2.2	10.0	11.0	21.5	-	-	-	-	-
Other Current Assets	64.0	284.6	967.0	1,481.7	1,836.9	2,318.6	3,121.1	3,986.5	4,847.2	5,899.7
Total Current Assets	**411.0**	**637.2**	**1,830.9**	**2,240.8**	**3,058.8**	**3,927.1**	**5,431.8**	**5,720.3**	**7,670.0**	**9,694.1**
Gross Property, Plant & Equipment	265.9	265.1	306.0	336.0	357.2	414.7	470.8	544.6	641.2	786.8
Accumulated Depreciation	(134.3)	(136.6)	(169.7)	(204.4)	(223.6)	(264.8)	(297.3)	(294.2)	(321.8)	(368.5)
Net Property, Plant & Equipment	**131.7**	**128.6**	**136.4**	**131.7**	**133.6**	**149.9**	**173.4**	**250.4**	**319.4**	**418.3**
Long-term Investments	-	-	-	-	-	-	-	1.5	1.3	1.3
Other Intangibles	110.4	181.0	1,046.9	1,506.0	2,091.1	2,773.3	4,312.8	7,274.5	10,371.1	14,961.0
Deferred Tax Assets, LT	16.0	17.5	28.3	56.9	69.1	120.3	180.6	227.2	478.3	564.4
Deferred Charges, LT	6.0	-	-	-	-	-	-	-	-	-
Other Long-Term Assets	4.7	17.8	26.8	32.5	60.0	71.9	104.2	112.7	172.8	335.3
Total Assets	**679.7**	**982.1**	**3,069.2**	**3,967.9**	**5,412.6**	**7,042.5**	**10,202.9**	**13,586.6**	**19,012.7**	**25,974.4**
LIABILITIES										
Accounts Payable	92.5	222.8	87.0	86.5	108.4	201.6	253.5	312.8	359.6	563.0
Accrued Exp.	27.6	29.5	54.2	53.1	54.0	69.7	140.4	197.6	315.1	477.4
Curr. Port. of Cap. Leases	1.4	2.1	-	-	-	-	-	-	-	-
Unearned Revenue, Current	100.1	127.2	148.8	169.5	215.8	274.6	346.7	443.5	618.6	760.9
Other Current Liabilities	5.8	7.0	935.0	1,366.8	1,776.0	2,117.2	2,789.0	3,632.7	4,173.0	4,686.0
Total Current Liabilities	**227.4**	**388.6**	**1,225.1**	**1,675.9**	**2,154.2**	**2,663.2**	**3,529.6**	**4,586.7**	**5,466.3**	**6,487.3**
Long-Term Debt	200.0	200.0	400.0	400.0	500.0	885.8	2,371.4	3,364.3	6,499.4	10,360.1
Capital Leases	36.6	-	-	-	-	-	-	-	-	-
Other Non-Current Liabilities	16.6	103.3	801.3	1,147.3	1,424.8	1,635.8	2,078.5	2,955.8	3,465.0	3,888.3
Total Liabilities	**480.6**	**691.9**	**2,426.4**	**3,223.2**	**4,079.0**	**5,184.8**	**7,979.4**	**10,906.8**	**15,430.8**	**20,735.6**
Common Stock	0.1	0.1	0.1	0.1	0.1	1,042.9	1,324.8	1,599.8	1,871.4	2,316.0
Additional Paid In Capital	-	51.6	219.1	301.6	777.4	-	-	-	-	-
Retained Earnings	198.8	237.7	422.9	440.1	552.5	819.3	941.9	1,128.6	1,731.1	2,942.4
Treasury Stock	-	-	-	-	-	-	-	-	-	-
Comprehensive Inc. and Other	0.3	0.8	0.7	2.9	3.6	(4.4)	(43.3)	(48.6)	(20.6)	(19.6)
Total Common Equity	**199.1**	**290.2**	**642.8**	**744.7**	**1,333.6**	**1,857.7**	**2,223.4**	**2,679.8**	**3,582.0**	**5,238.8**
Total Equity	**199.1**	**290.2**	**642.8**	**744.7**	**1,333.6**	**1,857.7**	**2,223.4**	**2,679.8**	**3,582.0**	**5,238.8**
Total Liabilities And Equity	**679.7**	**982.1**	**3,069.2**	**3,967.9**	**5,412.6**	**7,042.5**	**10,202.9**	**13,586.6**	**19,012.7**	**25,974.4**

Source: Capital IQ, *Accessed April 1, 2019.*

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Exhibit 1b Netflix Consolidated Income Statement 2009-2018, in USD millions

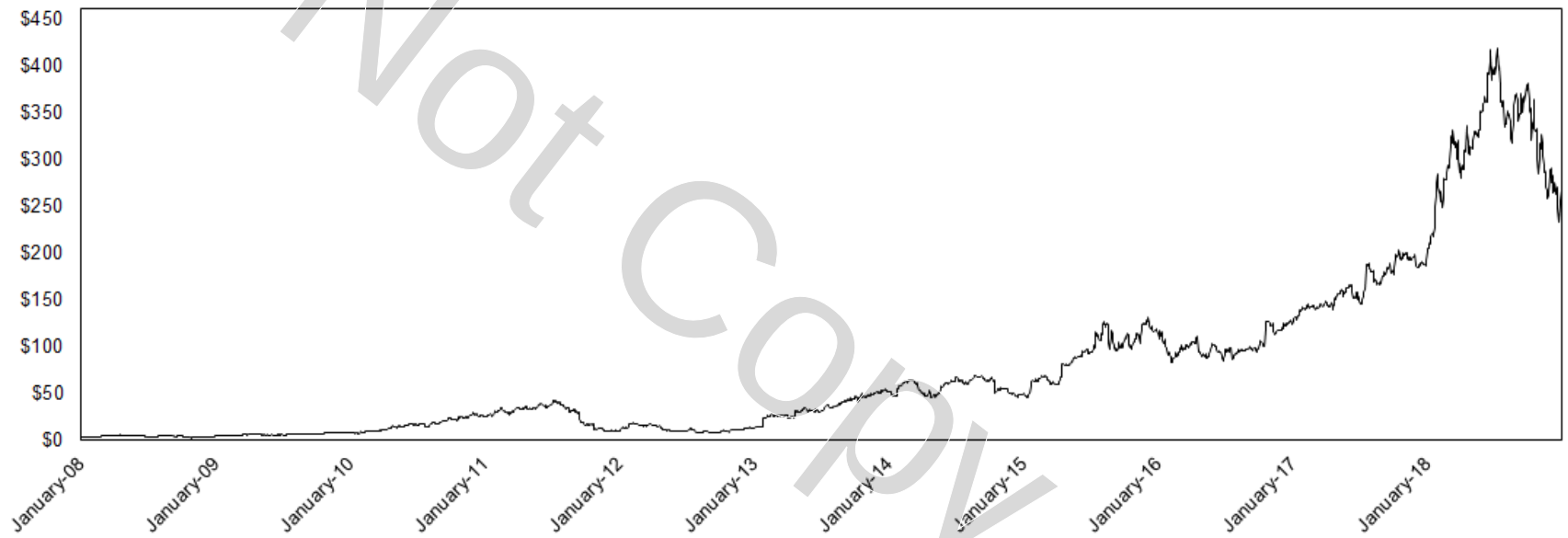
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Revenue	**1,670.3**	**2,162.6**	**3,204.6**	**3,609.3**	**4,374.6**	**5,504.7**	**6,779.5**	**8,830.7**	**11,692.7**	**15,794.3**
Cost Of Goods Sold	1,079.3	1,357.4	2,039.9	2,652.1	3,117.2	3,752.8	4,591.5	6,257.5	8,033.0	9,967.5
Gross Profit	**591.0**	**805.3**	**1,164.7**	**957.2**	**1,257.4**	**1,751.9**	**2,188.0**	**2,573.2**	**3,659.7**	**5,826.8**
Selling General & Admin Exp.	286.6	358.3	520.6	578.2	650.2	876.9	1,231.4	1,413.2	1,867.3	2,999.8
R & D Exp.	114.5	163.3	259.0	329.0	378.8	472.3	650.8	780.2	953.7	1,221.8
Other Operating Exp., Total	**401.2**	**521.6**	**779.6**	**907.2**	**1,029.0**	**1,349.2**	**1,882.2**	**2,193.4**	**2,821.0**	**4,221.6**
Operating Income	**189.8**	**283.6**	**385.1**	**50.0**	**228.3**	**402.6**	**305.8**	**379.8**	**838.7**	**1,605.2**
Interest Expense	(6.5)	(19.6)	(20.0)	(20.0)	(29.1)	(50.2)	(132.7)	(150.1)	(238.2)	(420.5)
Interest and Invest. Income	4.8	3.7	3.5	4.5	5.4	5.1	6.1	7.8	12.8	42.7
Net Interest Exp.	**(1.6)**	**(15.9)**	**(16.5)**	**(15.5)**	**(23.7)**	**(45.1)**	**(126.6)**	**(142.3)**	**(225.4)**	**(377.8)**
Currency Exchange Gains (Loss)	-	-	-	(4.0)	(8.4)	(8.2)	(37.3)	23.0	(128.0)	(1.0)
EBT Excl. Unusual Items	**188.2**	**267.7**	**368.5**	**30.5**	**196.2**	**349.4**	**141.9**	**260.5**	**485.3**	**1,226.5**
Gain (Loss) On Sale Of Invest.	1.9	-	-	-	-	-	-	-	-	-
Legal Settlements	2.1	-	(9.0)	-	-	-	-	-	-	-
Other Unusual Items	-	-	-	-	(25.1)	-	-	-	-	-
EBT Incl. Unusual Items	**192.2**	**267.7**	**359.5**	**30.5**	**171.1**	**349.4**	**141.9**	**260.5**	**485.3**	**1,226.5**
Income Tax Expense	76.3	106.8	133.4	13.3	58.7	82.6	19.2	73.8	(73.6)	15.2
Net Income	**115.9**	**160.9**	**226.1**	**17.2**	**112.4**	**266.8**	**122.6**	**186.7**	**558.9**	**1,211.2**
EPS										
Basic	$0.29	$0.44	$0.61	$0.04	$0.28	$0.63	$0.29	$0.44	$1.29	$2.78
Diluted	$0.28	$0.42	$0.59	$0.04	$0.26	$0.62	$0.28	$0.43	$1.25	$2.68
Weighted -avg common outstanding										
Basic	395.9	367.7	369.9	388.6	407.4	420.5	425.9	428.8	431.9	435.4
Diluted	408.9	380.1	380.6	412.3	425.3	431.9	436.5	438.7	446.8	451.2

Source: Capital IQ, *Accesses April 1, 2019.*

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Exhibit 1c Netflix Stock Price, 2008-2018



Source: Capital IQ, *Accessed April 1, 2019.*

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Exhibit 2 Breakdown by Segment 2014-2018 in USD millions

	2014	2015	2016	2017	2018
Revenues					
Domestic Streaming	3,431.4	4,180.3	5,077.3	6,153.0	7,646.6
International Streaming	1,308.1	1,953.4	3,211.1	5,089.2	7,782.1
Domestic DVD	765.2	645.7	542.3	450.5	365.6
Total Revenues	**5,504.7**	**6,779.5**	**8,830.7**	**11,692.7**	**15,794.3**
Operating Profit Before Tax					
Domestic Streaming	936.2	1,375.5	1,712.4	2,078.4	2,582.9
International Streaming	(159.8)	(333.4)	(516.2)	(103.0)	661.9
Domestic DVD	368.3	321.8	279.5	248.0	212.5
Unallocated Other Operating Expenses	(742.1)	(1,058.1)	(1,095.9)	(1,384.8)	(1,852.1)
Total Operating Profit Before Tax	**402.6**	**305.8**	**379.8**	**838.7**	**1,605.2**

Source: Capital IQ, *Accessed April 1, 2019.*

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Exhibit 3 Attribute of 'A' Players

Judgment You make wise decisions despite ambiguity; you identify root causes, and get beyond treating symptoms; you think strategically, and can articulate what you are, and are not, trying to do; you smartly separate what must be done well now, and what can be improved later.

Communication You listen well, instead of reacting fast, so that you can better understand; you are concise and articulate in speech and writing; you treat people with respect independent of their status or disagreement with you; you maintain calm poise in stressful situations.

Impact You accomplish amazing amounts of important work; you demonstrate consistently strong performances so colleagues can rely upon you; you focus on great results rather than on process; you exhibit bias-to-action, and avoid analysis-paralysis.

Curiosity You learn rapidly and eagerly; you seek to understand our strategy, market, subscribers, and suppliers; you are broadly knowledgeable about business, technology, and entertainment; you contribute effectively outside of your specialty.

Innovation You re-conceptualize issues to discover practical solutions to hard problems; you challenge prevailing assumptions when warranted, and suggest better approaches; you create new ideas that prove useful; you keep us nimble by minimizing complexity and finding time to simplify.

Courage You say what you think even if its controversial; you make tough decisions without excessive agonizing; you take smart risks; you question actions inconsistent with our values.

Passion You inspire others with your thirst for excellence; you care intensely about Netflix success; you celebrate wins; you are tenacious.

Honesty You are known for candor and directness; you are non-political when you disagree with others; you only say things about fellow employees you will say to their faces; you are quick to admit mistakes.

Selflessness You seek what is best for Netflix, rather than what is best for yourself or your group; you are ego-less when searching for the best ideas; you make time to help colleagues; you share information openly and proactively.

In 2017 Netflix added another core principle:

Inclusion You collaborate effectively with people of diverse backgrounds and cultures; you nurture and embrace differing perspectives to make better decisions; you focus on talent and our values, rather than a person's similarity to yourself; you are curious about how our different backgrounds affect us at work, rather than pretending they don't affect us; you recognize we all have biases, and work to grow past them; and you intervene if someone else is being marginalized.

Source: Company documents.

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Exhibit 4 List of Hastings' Direct Reports

Global Head of Business Development

General Counsel

Chief Financial Officer

Chief Product Officer

Chief Talent Officer

Chief Marketing Officer

Corporate Communications Officer

Chief Content Officer

Source: Company documents.

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Exhibit 5 Netflix reviews from Glassdoor.com

3.7 Stars

Recommend to a Friend: 73%

Approve of CEO: 91%

Pros:

"Freedom and responsibility in day-to-day work, no micromanagement" (in 52 reviews)

"Work/life balance is a real attainable thing here" (in 19 reviews)

"Good pay, monthly attendance bonuses, good food in the café" (in 35 reviews)

"Lots of smart people working on cutting edge technology" (in 29 reviews)

"Great people, free food, Hollywood" (in 28 reviews)

Cons:

"The culture of fear is real in some groups" (in 27 reviews)

"Silicon Valley culture-work life balance can become an issue, things can get political" (in 25 reviews)

"Level of stress is high, and I have been through so many team members being fired or let go that I can't even count them" (in 37 reviews)

"This makes for a very high turnover rate" (in 26 reviews)

Source: Excerpted from Glassdoor.com, Netflix Reviews, *Accessed August 18, 2018.*

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